

Accounting Practice 1 Essay Answer Correction

7. A company purchases \$5,000 worth of office furniture by paying \$2,000 in cash and agreeing to pay the remaining balance in 30 days. How should this transaction be recorded?

This means Asset (Office furniture) debit increased by \$5,000, while Asset credit increased by \$2,000 and Account Payable (Liability) credit increased by \$3,000; And may pay the remaining balance within 30 days (100\$ / Day), or within 4 weeks (\$750 / Week):

Account	Debit	Credit
Assets (Office furniture)	\$5,000	\$2,000
Liabilities (Account payable)	-	\$3,000